

Project: Analysis of apartment real estate transaction trends in Singapore from 2010 to early 2022

I/ Problem

- What is the trend of real estate transactions from 2012 to present?
- Identify more hot apartment types in these years?
- How has Covid 19 affected the real estate trading floor?
- How will the price be affected by the previous factors (previous column)?

II/ Who is the audience for this presentation?

- Customers who are looking for housing
- Real estate trading businesses
- Individuals and groups planning to purchase real estate for investment purposes
- Broker

III/ Introduction to data presentation

This data table is about: HDB apartment prices from 2012 - 2022

Source: <https://www.kaggle.com/datasets/syrahmadi/resale-hdb-flat-prices-2000-2022/code>

In Dataset there are 4 data tables:

Data Explorer

Version 1 (49.41 MB)

resale-flat-prices-based-on-r
resale-flat-prices-based-on-r
resale-flat-prices-based-on-r
resale-flat-prices-based-on-r

Contains the relevant information respectively: From 2000 to 2012, From 2012 to 2014, From 2015 to 2016 and From 2017 to April 1, 2012.

**2 tables: From 2000 to 2012 and From 2012 to 2014 have 10 columns and 2 tables: From 2015 to 2016 and From 2017 to April 1, 2022 have 11 columns (including 10 columns like the previous 2 tables

+ add 1 Remaining Lease Column)

Data processing:

- Combine the above tables into 2 tables for analysis.
- Table 1 will combine the contents of all 4 tables (removing the Remaining Lease column) and select the time frame from 2010 to April 2022
- Table 2 will connect 2 tables with the Remaining Lease column => Explain the meaning and analyze this factor

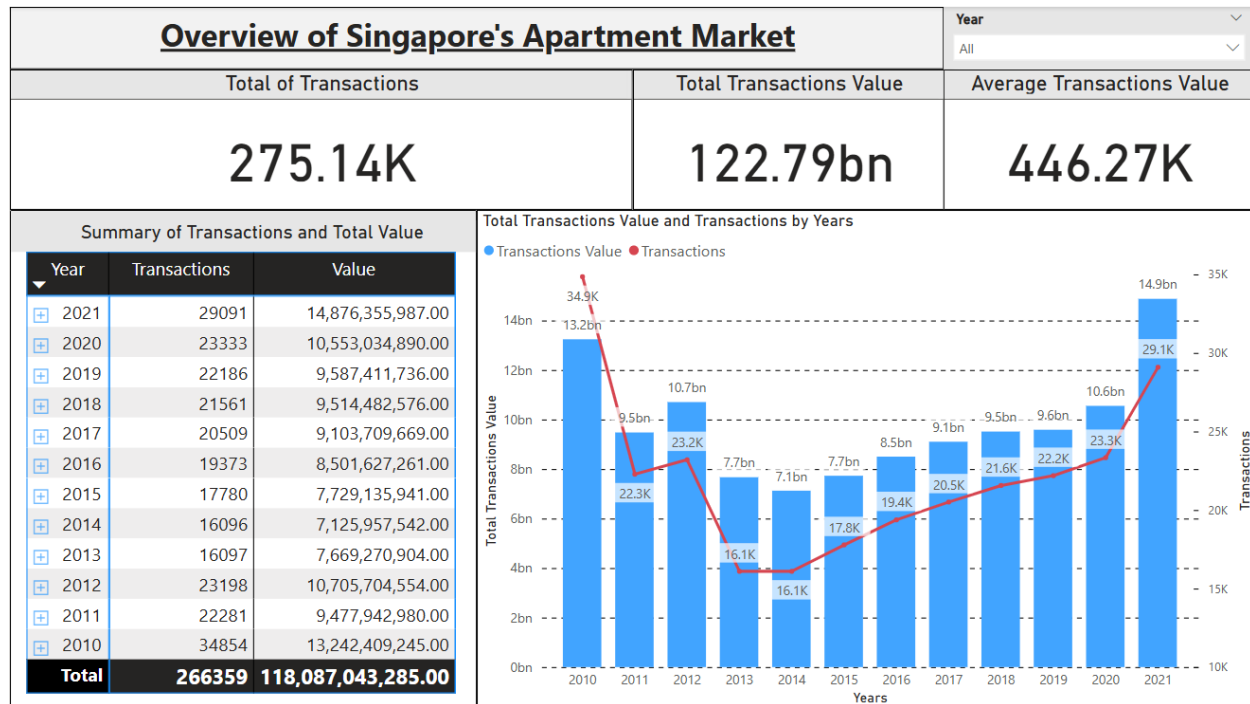
IV/ Analysis

1. Overview on sales price and number of transactions over the years

Total Transactions are 275143 Transactions from 2010 to Q1 2022 with Total Transaction Value of SGD 122.79 Billion.

The 3 years with the highest number of transactions are 2010, 2020 and 2021 respectively.

We can see that the number of Transactions and Value in apartment transactions in Singapore brings great benefits to the Singapore economy.



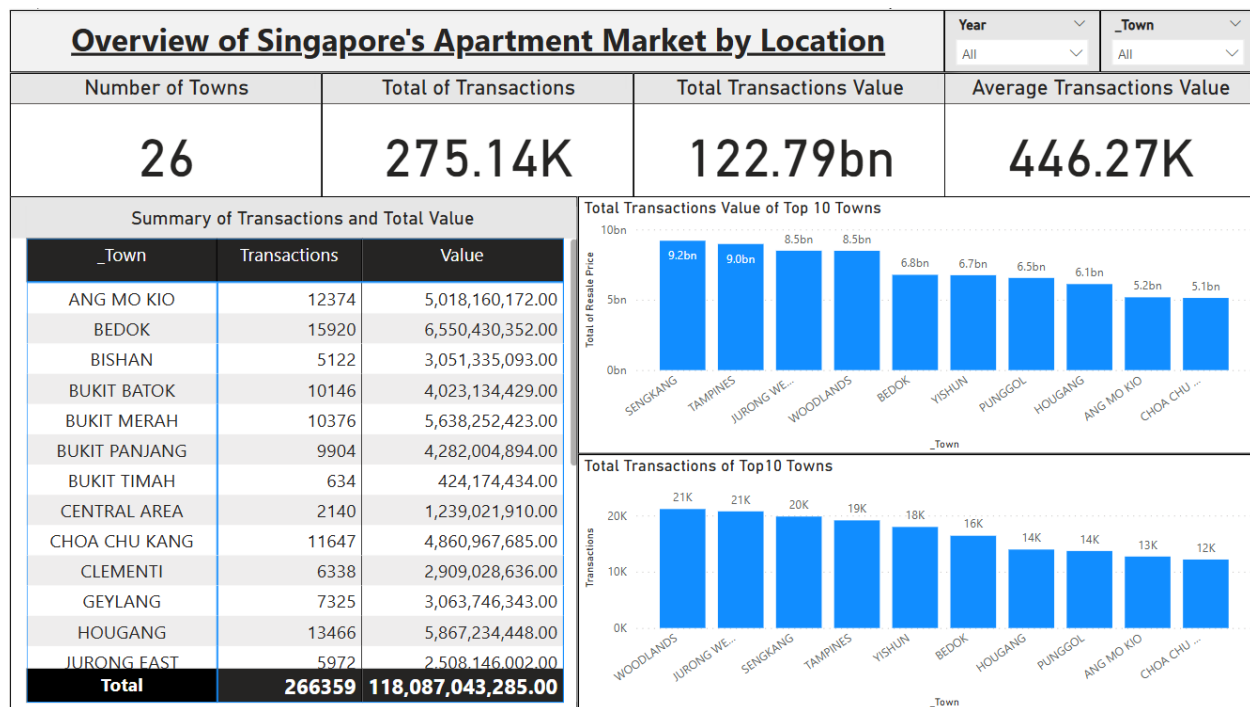
The total transaction value of the apartment is always fluctuating. Depending on the economic situation, government policies and customer needs at different times, the number of transactions and transaction value may change.

The more transactions, the higher the transaction value. However, looking at 2010, the number of transactions in this year was the highest with 34,854 transactions, but the transaction value in that year was behind 2021 with fewer transactions, only 29,091 transactions.

This problem may be affected by

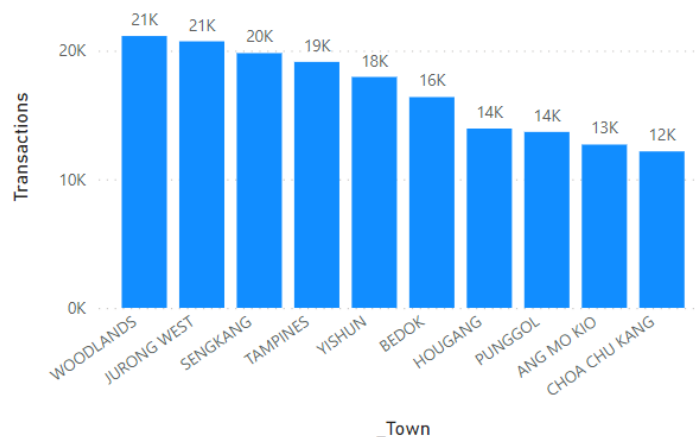
However, the transaction value has remained quite high over the years.

2. Location-based overview

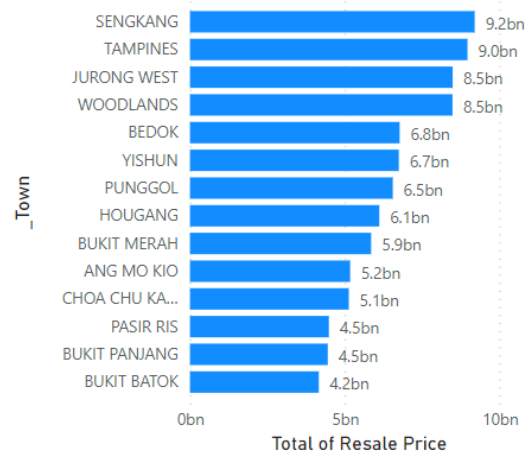


There are 28 Apartment Trading Areas with the Top 10 areas with the most transactions and the highest transaction value being

Total Transactions of Top10 Towns



Total Resale Price in Top10 Town



Why do these areas have such high transaction numbers?

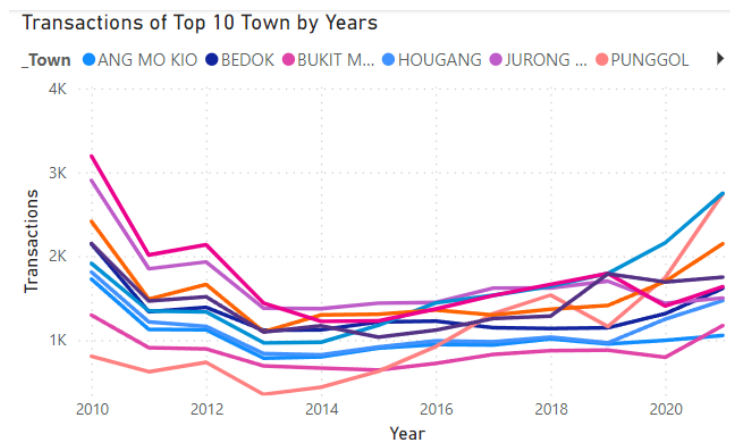
Let's take a quick look at the 5 areas: Woodlands, Jurong West, Sengkang, Tampines, Yishun

- Jurong West: Is a district in the west of Singapore and has many industrial parks, commercial centers and public amenities.
- Woodlands: Located in the north of the island, Woodlands is close to the border with Malaysia and is a rapidly developing area with many residential and industrial projects.
- Sengkang: Located in the northeast of the island, Sengkang has undergone rapid development and is an area for both residents and businesses.

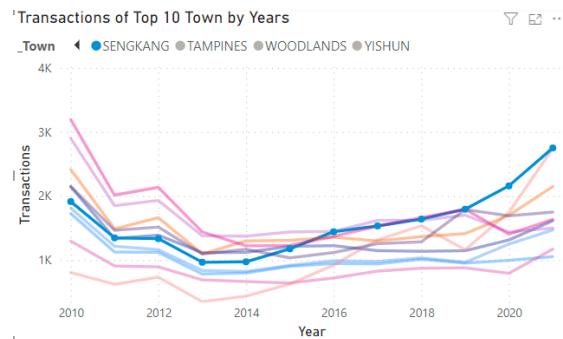
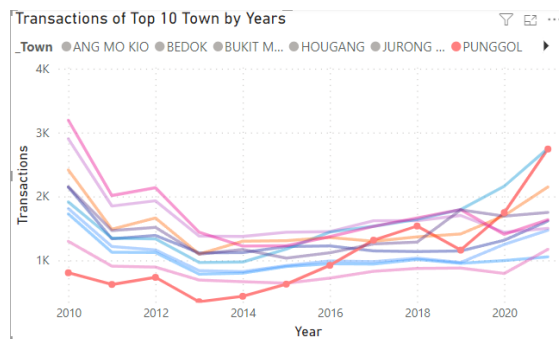
- Tampines: This is a district in the east of Singapore and is one of the important areas of the island, with many infrastructures, border gates and large shopping centers.
- Yishun: Located in the north of the island, Yishun is a residential area with many amenities and infrastructure.

From the above 5 areas, we can conclude that:

- ➔ Apartment transactions will be more frequent in areas with economic and infrastructure development, where there is potential for future development. Therefore, the value of apartments in these areas will also be higher and the number of transactions will be higher than in other areas.

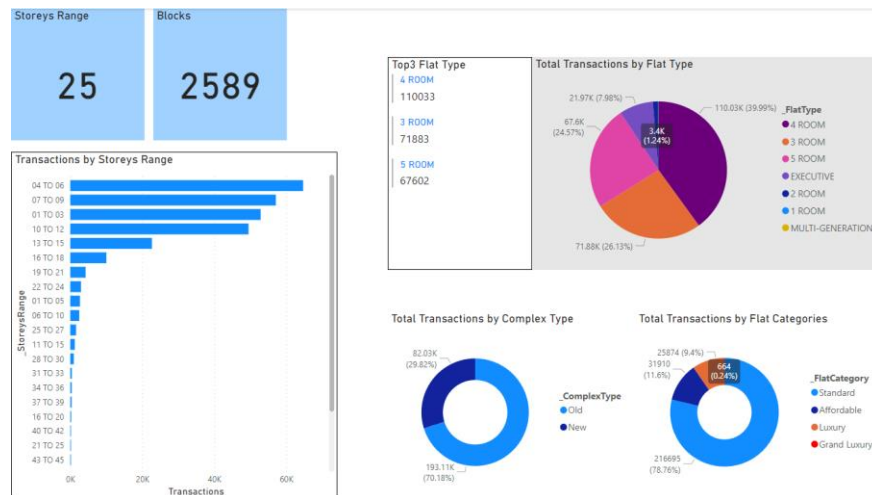


Through the chart, we can see that the number of transactions from 2010 to 2013 decreased quite deeply but gradually increased over time.



In the total transactions in each area, we can pay special attention to the PUNGGOL area (left), from the area with the lowest number of transactions but breaking through with the number of transactions almost equal to the Top area is SENGKANG -> Proving that this area is attracting extremely high investment and development and can be in the Top oil transactions in the future.

3. Overview based on apartment type



In general, we can see the trend of buying apartments of families in Singapore:

With the price of apartments in Singapore, we can divide them into 4 apartment segments:

- Affordable (Apartment value < 300,000SGD),
 - Standard (300,000SGD <= Apartment value < 650,000SGD),
 - Luxury (650,000SGD <= Apartment value < 1,000,000SGD)
 - and Grand Luxury (Apartment value >= 1,000,000SGD).
- ➔ The number of transactions in the Standard segment is extremely large – this is the segment that customers are interested in.

For apartment buildings put into operation before 2000, we can classify them as Old, and apartment buildings put into operation after 2000 will be classified as New.

- ➔ The number of transactions of apartments put into operation before 2000 accounts for a smaller proportion than apartments put into operation after 2000 -> customer demand is increasing as well as more concern about apartment quality and customer life.

Multi-Generation apartments .

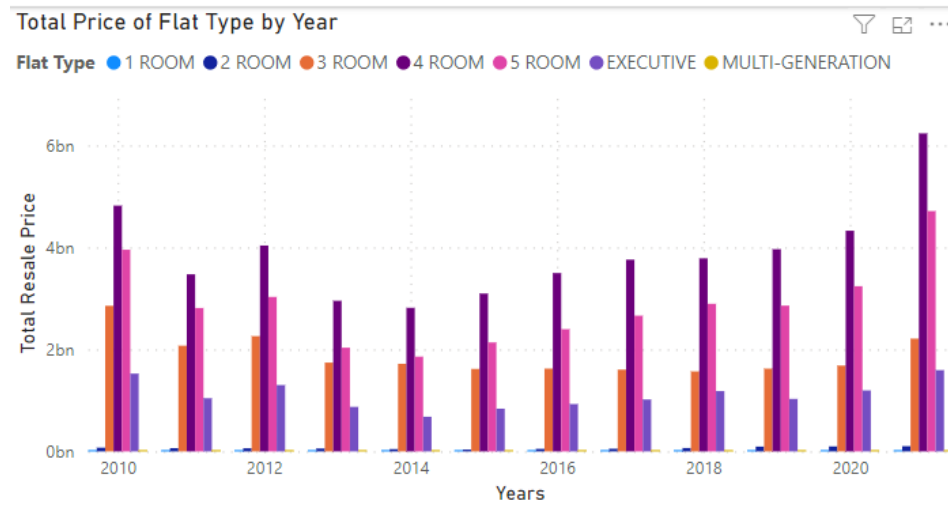
- ➔ Apartments with 3 to 5 bedrooms are extremely high in volume, Multi-Generation is extremely rare.

With the common mentality of Asians is "Settling down", most transactions will be in the range of 3 bedrooms to 5 bedrooms with 4 bedrooms having the most transactions. Apartment type: 1 and 2 bedroom apartments along with

Multi-Generation apartments have low transaction numbers, the reason is that these apartments only serve a very small customer base. 1-2 bedroom apartments are usually only suitable for young people and singles, while Multi-Generation apartments no longer meet the original purpose of being a place to live for many generations.

Along with the type of apartment, the floor location is also of concern.

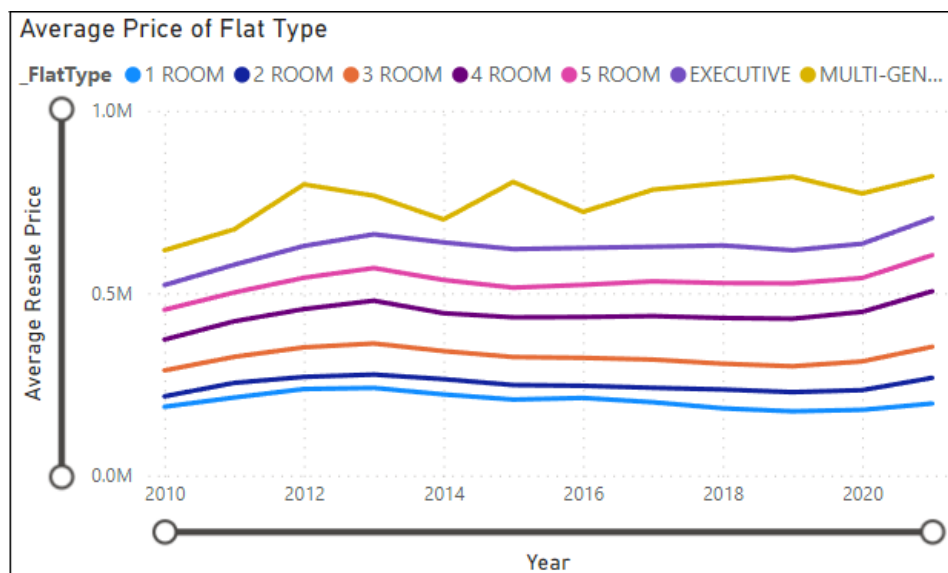
As can be seen from the chart, the apartments are widely traded on different floors and the transactions are mainly concentrated on the 12th floor and below. This area is often affordable – a reasonable choice for many middle-class families while higher-income families often choose apartments on higher floors and in particular, apartments near the top are extremely attractive to people with extremely high incomes.



Looking at the table above, we can see the demand for apartment transactions from 2010 - 2021.

From 2010 to 2014, the transaction volume decreased sharply, the total transaction value decreased.

From 2014 to 2021, the transaction volume and total transaction value began to increase strongly again, especially in 2021.



Considered by criteria of average transaction price of each type of apartment by year

We can see that the average transaction price of each type of apartment is increasing gradually with a very reasonable price segment.

As for Multi-Generation apartments, the average transaction price of this type has increased but is not stable, due to the number of transactions during the year and changing customer needs, this type of apartment is gradually no longer suitable.

4. Overview by sLease Remaining

Lease Remaining factor or can be called Remaining Term, this factor is only available in 2 tables: From 2015 to 2016 and From 2017 to April 1, 2022.

Some information on why Lease Remaining is needed:

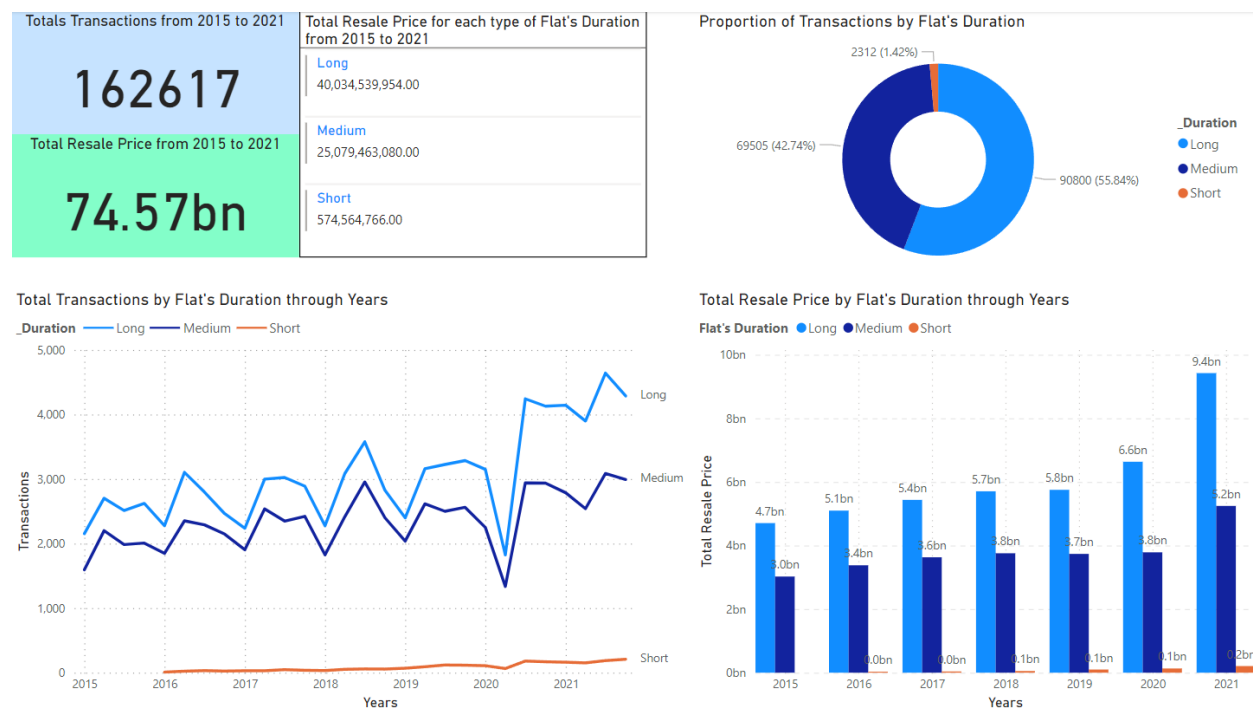
In Singapore, the 99 years term is regulated by HDB – Housing and Development Board (HDB) which means that apartments can only be used for 99 years from the date the apartment complex is put into use. Lease Remaining indicates the remaining period that an apartment complex is allowed to be used.

Like in Vietnam, we also have a law allowing the use of an apartment for 100 years.

Before 2015, the need to know about Lease Remaining did not exist because there was no requirement or law that could put the tenant at a disadvantage.

However, in 2014, during the Parliamentary Session of Singapore on 20 January 2014, the then Minister for National Development Khaw Boon Wan confirmed that, upon the expiry of the 99-year lease, the HDB flats would be returned to the landowners (HDBs). The land would then be transferred to the state. This means that the value of the HDB flats at the end of the lease would be zero.

This has become a concern for most apartment owners, so the Lease Remaining factor has been included as necessary information for customers to decide whether to make an apartment purchase or not.



Through the table above: we divide Lease Remaining into 3 levels:

- Short: for apartments with Lease Remaining < 50 years
- Medium: for apartments with Lease Remaining between 50 years and 70 years
- Long: for apartments with Lease Remaining > 70 years

At first glance, we can determine that interest and transaction volume are concentrated in apartments with Lease Remaining levels > 50 years.

Apartments with Lease Remaining level < 50 years are considered old apartments that no longer meet the needs of the majority of customers, so the transaction volume and transaction value are very low.

Apartments with Lease Remaining > 50 years and especially over 70 years are still of interest to most customers, and the transaction value is also high.

- ➔ With the common mentality of Asians is "Settling down and starting a business", apartments with high Lease Remaining will attract more customers and have more transactions.

IV/ Insights

- ➔ Condo transactions in Singapore have been volatile from 2010 to early 2022, which can be influenced by various factors ranging from economic politics to buyer demand.
- ➔ We can see that the average transaction price of each type of apartment is increasing gradually with a very reasonable price segment. The value of each type of apartment has also tended to increase steadily over the past 10 years.
- ➔ Apartment transactions will be more frequent in areas with economic and infrastructure development, where there is potential for future development. Therefore, the value of apartments in these areas will also be higher and the number of transactions will be higher than in other areas.
- ➔ Location will also greatly affect the transaction decision and value of the apartment.
- ➔ The number of transactions in the Standard segment is extremely large – this is the segment that customers are interested in.
- ➔ The number of transactions of apartments put into operation before 2000 accounts for a smaller proportion than apartments put into operation after 2000 -> customer demand is increasing as well as more concern about apartment quality and customer life.
- ➔ Apartments with 3 to 5 bedrooms are extremely high in volume, Multi-Generation is extremely rare.
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- ➔ With the common mentality of Asians is "Settling down and starting a business", apartments with high Lease Remaining will attract more customers and have more transactions.

V/ Conclusion:

From 2010 to early 2022, the HDB apartment transaction market in Singapore witnessed many notable fluctuations, influenced by factors such as government policies, economic situation, Covid-19 pandemic and changing needs of the people. The average transaction value of all types of apartments tends to increase steadily, especially in the popular apartment segment - which accounts for the largest proportion of transactions. Areas with strong infrastructure and economic development such as

Jurong West, Sengkang or Tampines attract high transaction volumes, reflecting the trend of "settling down" associated with regional development.

In addition, apartments with 3 to 5 bedrooms, especially 4-bedroom apartments, are dominant because they are suitable for the Asian family model. The "Lease Remaining" factor also became an important criterion after 2015, showing a change in the psychology and behavior of homebuyers - prioritizing apartments with long-term use to ensure long-term investment value. The overall data shows a vibrant, flexible market that is gradually adjusting towards sustainability and is more suitable to the actual needs of Singapore residents.

Advice for home buyers and apartment investors:

For **those who buy apartments for living**, priority should be given to apartments in the popular segment (Standard), from 3 to 5 bedrooms, especially new apartments (built after 2000) and have **Lease Remaining from 70 years or more**. Areas such as Sengkang, Tampines, or Punggol not only have developed infrastructure but are also hot spots for transactions, providing good quality of life and potential for increasing apartment value in the future. You should choose apartments from the middle floor or lower (12th floor or lower) if you want to optimize costs, while high floors are suitable for families with conditions and prioritize quietness and beautiful views.

For **apartment real estate investors**, it is necessary to pay attention to **the infrastructure development trend and transaction value of the area**. Areas with strong growth in transactions such as Punggol are potential long-term options. In addition, you should avoid investing in apartments with Lease Remaining under 50 years because of low liquidity and decreasing value over time. Investing in the popular segment in developing areas will help maintain stable profitability, while being easy to resell or rent. Keep a close eye on HDB policy changes to have a flexible and market-appropriate investment strategy.